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Illustration 1

Pass journal entries for the following transactions and post them in the ledger accounts.

2017

June 1 Basu started business with cash ` 50,000

4 Purchased furniture by paying cash for ` 6,000

7 Purchased machinery on credit from Harish ` 10,000

10 Bought goods for cash ` 4,000

18 Paid insurance premium ` 100

Solution

In the books of Basu
Journal entries

Date	Particulars	L.F.	Debit `	Credit `
2017 June 1	Cash A/c Dr. To Basu's capital A/c (Started business with cash)		50,000	50,000
June 4	Furniture A/c Dr. To Cash A/c (Furniture bought for cash)		6,000	6,000
June 7	Machinery A/c Dr. To Harish A/c (Machinery bought on credit from Harish)		10,000	10,000
June 10	Purchases A/c Dr. To Cash A/c (Goods bought for cash)		4,000	4,000
June 18	Insurance premium A/c Dr. To Cash A/c (Insurance premium paid)		100	100

Ledger accounts

Dr. **Cash account** **Cr.**

Date	Particulars	J.F.	`	Date	Particulars	J.F.	`
2017 June 1	To Basu's capital A/c		50,000	2017 June 4	By Furniture A/c		6,000
				10	By Purchases A/c		4,000
				18	By Insurance premium A/c		100